(*b*) What are the salient features of Margin Free Market pricing strategy ?

(*c*) Analyse the external and internal factors that have made it possible to sustain the present pricing strategy of Margin Free Market.

(*d*) Discuss the limitations of the existing pricing strategy of Margin Free Market. Suggest appropriate changes.

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## MBA (4th Semester) Examination, April - May, 2016

**(New Scheme)**

## Retail Management

*me Allowed* : 3 hours *Maximum Marks* : 80

*Minimum Pass Marks* : 32

ote : (*i*) Attempt any **four** questions from Section 'A'. Each question carries 16 marks.

(*ii*) Section 'B' is compulsory carries 16 marks.

### Section-A

What are the developments in Indian retail that have come about as a consequence of the changed Indian consumer ?

***OR***

What are important characters of a retailer? Differentiate between traditional and non-traditional retailing.

Define Retailing. Discuss the scope and prospects of retail sector in the Indian context, describing the drivers of growth of retailing in the country.

*OR*

What makes location decisions in retailing strategic in nature ? Discuss with suitable examples the factors necessary to consider before selecting a final site for any store.

3. Write notes on any **three** of the following :

(*a*) Functions of Retailers

(*b*) Types of Retail Institutions and its characteristics

(*c*) Asset management and budgeting in retail business

(*d*) Financial merchandise management in retail

*OR*

Define Merchandise Management. Explain the components of merchandise management. Discuss the retail pricing and promotion strategy.

4. Discuss the importance of assortment plan and estimation of demand.

*OR*

How important is the role of pricing in retail marketing mix? Briefly discuss the various retail pricing approaches available to the retailer.

5. What is the importance of retail brand? Is retail branding important for a retailer in India? Explain with example.





*OR*

Describe the various management problems involved in retail selling, salesperson selection and training and evaluation.

6. What is supply chain integration and why is it relevant to retail organizations in an evolving retail market like India ?

*OR*

Write short notes on any **two** of the following :

(*a*) Financial Management Issues in Retail

(*b*) The Strategic Profit Model and the Profit Path

(*c*) Merchandising Philosophy

(*d*) Promotional Strategy in Retail

## Section-B

## CASE STUDY

Subhiksha in Chennai, Margin Free in Kerala, Bombay Bazaar in Mumbai, RPG's Giant in Hyderabad, and Big Bazaar in Kolkata, Hyderabad and Bangalore have one thing in common — they all price their products below MRP. Discount stores are slowly arriving in India and industry insiders feel they will spearhead a revolution in organized retailing. On the list of top retailers in the world, quite a few are discounters. Around 60% of the business abroad comes from this format. Incidentally, the largest

retailer in the world, Wal-Mart, is a discount store.

Margin Free was registered as a Co-operative Society in 1993 in Kerala and entered the supermarket business in 1994. It is run by the Consumer Protection and Guidance Society, a charitable organization based in Thiruvananthapuram. Today, it has emerged as India's number one supermarket chain with 150 stores and a turnover of Rs. 450 crores. Margin Free purchases directly from manufacturers at ex-factory price and sells at lower prices than the MRP, as it eliminates the margin accrued in the traditional manufacturer-stockist-wholesaler-retailer network.

Margin Free takes extreme care while pricing the products through its entire stores. It has employed software which evaluates the price by minimizing profits. Every store is computerized and utilises the software to determine the pricing. This helps in ensuring that the products are rationally priced.

Margin Free has found exceptional success in its scalable franchised model. It is now looking to upgrade to a central warehouse concept, which will help it to manage growth further. The success of Subhiksha and Margin Free indicate that the discount war will hot up in the coming months but it will be the customer who will emerge as the final winner.





Margin Free also gets an average credit of 20-22 days from suppliers, which it sells, on an average in 10 days, thereby even earning a notional interest on its sales also. Its strategy has made it flush with funds, which can finance further expansion. Margin Free uses its customer base as a bargaining power to strike discount deals. Any dealer who wants to set up a Margin Free store has to buy at least rupees one lakh worth of share of the main Margin Free holding company. Margin Free has a consumer base of 6 lakhs and it sells them consumer cards at Rs. 40 per year. Customers who buy using this card get discounts on bulk purchases and also on government subsidized products like Rs. 2 per kg rice.

The stores are now opting for a major expansion drive. A key part of this is the introduction of private labelling, which is the season's flavour in the retailing industry. For the purpose they have shortlisted 15 items – all generic labels like rice, sugar etc.– and will add to the list in future.

Hence, they will be in a better position to provide quality stuff at considerably low prices within easy reach of an average middle-class family. For example, a packet of tea which sells for an MRP of Rs. 120 at one of the corporate retailers, will be available for Rs. 90 at the Margin Free stores.

The chain is now planning to open huge Margin Free hypermarkets. The first such hypermarket, featuring an array of wares and spread over 50000 square feet of well-laid out space, is planned to open at Ernakulam. The two other hypermarkets would be opened in Thiruvananthapuram and Kozhikode.

If the success of retail activity is measured in the number of outlets, the existing 240-odd chain of franchisees must have already made Margin Free the largest 'pure retail chain' (as distinct from retailers who are manufacturers) in the private sector even going by the number of footfalls, the Kerala-based retailer must have already beaten competition by a handsome margin.

The hypermarkets will feature almost all conceivable retailing products under one roof — textiles, leather, cosmetics, provisions, electronic goods, consumer durables, grains and grocery. As for ambience and class, they are most likely to resemble the Giant retailing chain operating out of Hyderabed and other cities.

The hypermarket would not dabble in imported items — Chinese or otherwise — that are flooding the retail market right now. The Co-operative Society is in the process of mobilizing resources for the hypermarket initiative. It plans to rope in outside investments over and above what the Consumer Protection and Guidance Society hopes to raise on its own.





The Society chose Ernakulam first because it happens to be the most commercialized city in the state. Also, the comparable purchasing capacities are higher there. The nomenclature for the hypermarket has a Margin Free prefix to it, seeking to build on the enormous trust that the discount chain has been able to build over a span of eight years of existence.

The management feels that the Margin Free retail chain has been able to earn the wholesale trust of consumers in a very short span. However, in its journey to success, the Margin Free stores have made life slightly uncomfortable for entrenched interests who have, on one hand, been fleecing consumers and on the other, resorting to indiscriminate under invoicing to avoid tax. The latter leads to loss of crores of rupees in realisable revenue for the State Government.

Every month, Margin Free is opening upto 12 stores and the number has grown to 241 at last count. The chain has spread to literally all parts of Kerala. It has seven franchisees in neighbouring Tamil Nadu already and two in Karnataka. The overall turnover has grown to Rs. 600 crore.

**Questions :**

(*a*) What has been the role of pricing strategy in the success of Margin Free Markets ?